

AXCELUS FINANCIAL LIFE INSURANCE COMPANY
ONE LIBERTY PLACE, 1650 MARKET STREET, 8TH FLOOR, PHILADELPHIA, PA 19103
(484) 530-4800

A. A member insurer or insurance producer may not deliver a life insurance policy, a health insurance policy, a health benefit plan (including a health maintenance organization contract or group master certificate), or an annuity contract which at the time of delivery exceeds the limitations imposed under [Insurance Article, § 9-407\(k\)](#), Annotated Code of Maryland, or which is not subject to coverage under [Insurance Article, § 9-403](#), Annotated Code of Maryland, unless the member insurer or insurance producer before or at the time of delivery provides the policyholder or contract holder the notice described in § B of this regulation. This chapter does not prohibit a member insurer or insurance producer from delivering the notice to policyholders or contract holders who have full protection afforded by the corporation.

B. The notice required in § A of this regulation shall be in at least 12-point type and shall read as follows:

NOTICE OF PROTECTION PROVIDED BY MARYLAND LIFE AND HEALTH INSURANCE GUARANTY CORPORATION

This notice provides a brief summary of the Maryland Life and Health Insurance Guaranty Corporation (the Corporation) and the protection it provides for policyholders and contract holders. This safety net was created under Maryland law, which determines who and what is covered and the amounts of coverage.

The Corporation is not a department or unit of the State of Maryland and the liabilities or debts of the Life and Health Insurance Guaranty Corporation are not liabilities or debts of the State of Maryland.

The Corporation was established to provide protection in the unlikely event that your health maintenance organization or your life, annuity, or health insurance company becomes financially unable to meet its obligations and is taken over by its Insurance Department. If this should happen, the Corporation will typically arrange to continue coverage and pay claims, in accordance with Maryland law, with funding from assessments paid by other insurance companies and health maintenance organizations.

The basic protections provided by the Corporation are:

- Life Insurance
 - \$300,000 in death benefits
 - \$100,000 in cash surrender or withdrawal values
- Health Insurance or Health Benefit Plans
 - \$500,000 for coverage provided by health benefit plans
 - \$300,000 for disability insurance
 - \$300,000 for long-term care insurance
 - \$100,000 for a type of health insurance not listed above, including any net cash surrender and net cash withdrawal values under the types of health insurance listed above
- Annuities
 - \$250,000 in the present value of annuity benefits, including net cash withdrawal values and net cash surrender values
 - With respect to each payee under a structured settlement annuity, or beneficiary of the payee, \$250,000 in present value annuity benefits, in the aggregate, including any net cash surrender and net cash withdrawal values.

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- The maximum amount of protection for each individual, regardless of the number of policies or contracts, is:
 - o \$300,000 in aggregate for all types of coverage listed above, with the exception of coverage provided by health benefit plans
 - o \$500,000 in aggregate for coverage provided by health benefit plans

NOTE: Certain policies and contracts may not be covered or fully covered. For example, coverage does not extend to any portion(s) of a policy or contract that the insurer does not guarantee, such as certain investment additions to the account value of a variable life insurance policy or a variable annuity contract. There are also various residency requirements and other limitations under Maryland law.

To learn more about the above protections, please visit the Corporation's website at www.mdlifega.org, or contact:

Maryland Life and Health
Insurance Guaranty Corporation
6210 Guardian Gateway
Suite 195APG
Aberdeen, Maryland 21005
410-248-0407

Insurance companies, health maintenance organizations, and insurance producers are not allowed by Maryland law to use the existence of the Corporation or its coverage to encourage you to purchase any form of insurance or a health benefit plan. When selecting an insurance company or health maintenance organization, you should not rely on Corporation coverage. If there is any inconsistency between this notice and Maryland law, then Maryland law will control.

Credits

Amended July 16, 2015; Nov. 1, 2021.

Complete through Maryland Register Vol. 49, Issue 10 dated May 6, 2022. Some sections may be more current, see credits for details.

COMAR 31.04.14.03, MD ADC 31.04.14.03